

REPORT CARD

• Vedanta's PAT zoomed a whopping 172% YoY

		Gross Sales (in ₹crore)			Profit After Tax (in ₹crore)			
PAT Rank 2025	Company Name	FY24	FY25	Growth (In %)	FY24	FY25	Growth (In %)	Promoter Stake (in %)
16	Vedanta	1,43,727	1,52,968	6.4	7,539	20,535	172.4	56.4
40	Hindustan Zinc	28,082	34,083	17.8	7,759	10,353	33.4	61.8

PROMOTERS' STAKE AS OF JUNE 2025 **SOURCE** ACE EQUITY

64 | oversaw another milestone: HZL became the world's largest integrated zinc producer. It reported its highest-ever domestic zinc sales at 603 kt in FY25, capturing a 77% domestic market share. The contribution of value-added products hit a new peak at 22%.

Financially, FY25 was HZL's second-best year. Zinc production cost fell to a four-year low of \$1,052 per tonne and free cash flows stood at ₹10,857 crore. Together, Vedanta and HZL more than doubled their net profit to ₹30,888 crore. Combined revenue rose 8.26% to ₹1.86 lakh crore.

Vedanta leaned on its scale, backward integration, and operational rigour to stay ahead, Misra tells *BT*. "By increasing the focus on cost optimisation, diversifying raw material sourcing, and embracing technology, we navigated supply disruptions effectively. At the same time, the company shifted towards higher-margin value-added products across aluminium and zinc," he says.

INSIDE THE VEDANTA EMPIRE

Vedanta Ltd is majority-owned (56.38%) by London-headquartered Vedanta Resources Ltd (VRL). Its Indian zinc business is largely run through HZL, where Vedanta holds nearly 62%. Other key holdings include a 51% stake in BALCO, 95.5% in ESL Steel and 100% in Zinc International.

In FY25, zinc (including HZL and international operations) contributed 43% of Vedanta's ₹43,541 crore Ebitda, followed by aluminium (41%) and oil &

gas (10.7%). The year saw global primary aluminium demand rising 3% and zinc demand growing 2%. But growth was higher in India, aluminium demand jumped 12% and zinc around 6%. Nearly half (48%) of Vedanta's aluminium and 77% of its zinc production was sold in India during the fiscal.

DEBT TURNAROUND, RATING UPGRADES

At the start of 2024, concerns intensified about VRL's debt, culminating in an S&P downgrade. However, that narrative flipped in FY25. VRL raised \$500 million by selling a stake in Vedanta and refinanced \$3.1 billion in bonds at lower costs and longer maturities. The group deleveraged by \$1.2 billion during the year—\$700 million at VRL and \$500 million at Vedanta.

As a result, VRL's total debt fell to \$5 billion by FY25-end, the lowest in a decade. Group-level leverage improved to 2 times. S&P upgraded VRL's credit rating by three notches to 'B+' from 'CCC+' in FY25.

By June 30, VRL's net debt had reduced further to \$4.8 billion, with \$750 million due in the rest of FY26—\$320 million in principal and \$430 million in interest. Analysts expect this to be managed via brand fees, dividends and partial refinancing. Ashish Kejriwal and Kunal Kothari, analysts at wealth management firm Nuvama, expect Vedanta to pay at least ₹25 per share in dividend in FY26, of which ₹23 has already been declared. VRL's debt is expected to be cut by \$500 million in FY26.